

Answer Key — Exchange Concepts Knowledge Check, Variant 07

Correct statements are listed per question. Scoring: +1 per correct selection, -2 per incorrect selection, 0 for unselected, floor of 0 overall.

#	Correct	#	Correct
1	A, B, D, E	16	A, B, C, D
2	A, B, C, E	17	A, B, D
3	A, B, C, D	18	A, B, C, E
4	A, B, D, E	19	A, B, C, D
5	A, C, D	20	A, C, D
6	A, C, D, E	21	A, B, D, E
7	B, C, D, E	22	A, B, C, D, E
8	A, B, C, E	23	A, B, C, E
9	A, B, C, E	24	A, B, C, D
10	A, B, C, E	25	A, C, D, E
11	A, B, C, D	26	A, B, C, D
12	A, B, C, D	27	A, B, D, E
13	A, B, C, E	28	A, B, C
14	A, B, C	29	A, B, D
15	B, C, D	30	A, B, C, D

Notes on selected answers

- **Q5(B, E):** An iceberg's hidden reserve is specifically *not* disclosed — only the small visible peak is shown. Implied orders are explicitly described as consuming real liquidity from real underlying books, not creating free liquidity.
- **Q7(A):** Increasing a resting order's quantity *loses* priority (it claims more than originally committed); only a *decrease* is treated as a concession that retains priority.
- **Q9(D):** An order typically receives multiple fill notifications over its life — a NEW order can go to PARTIAL (one notification) and then FILLED (another), or receive several partial-fill notifications in sequence.
- **Q14(D, E):** US equities T+2 was the *prior* settlement cycle; the current standard is T+1 (since 2024). The guarantee-fund is one of several loss layers, but it sits *after* the defaulting participant's own margin and clearing-broker guarantee, not before them.

- **Q15(A, E):** Knight's individual fills were priced at genuine prevailing market prices and were therefore *not* clearly erroneous in the regulatory sense. Both the Facebook and BATS 2012 incidents stemmed from engine-level software defects in the auction/matching logic itself, not a single erroneous order price — E reverses this.
- **Q26(D):** A multiplier loaded at 500 instead of the correct 50 makes every P&L and margin calculation *ten times too large*, not understated — the direction in D is reversed.
- **Q28(D, E):** A reverse split raises the per-share price proportionally as it consolidates shares — it does change the price, contrary to D. Reference data errors are described as a *disproportionate*, not rare, cause of real exchange outages relative to matching-engine bugs.
- **Q29(C, E):** Exercise is the *holder's* decision; assignment is the *writer's* obligation — C and E both state Q29's exercise/assignment pairing exactly backwards, and a position that closes just out-of-the-money can still end up exercised if the official settlement print lands a cent on the wrong side of the strike.